CERTIFIED TRUE COPY OF THE RESOLUTION PASSED BY THE AUDIT COMMITTEE OF SEDEMAC MECHATRONICS LIMITED (Formerly KNOWN AS SEDEMAC MECHATRONICS PRIVATE LIMITED) AT THE AUDIT COMMITTEE MEETING HELD ON 25TH FEBRUARY, 2026 AT THE REGISTERED OFFICE OF THE COMPANY AT SURVEY NO. 270/1/A/2, PALLOD FARMS, BANER ROAD, BANER, BANER GAON, HAVELI, PUNE- 411045, MAHARASHTRA, INDIA

APPROVAL OF LIST OF KEY PERFORMANCE INDICATORS AS INCLUDED IN THE RHP:

In connection with the proposed initial public offering ("**Offer**") of equity shares of the Company of face value of ₹ 10 each (the "**Equity Shares**"), the Company is in the process of filing the red herring prospectus ("**RHP**") with the Registrar of Companies, Maharashtra at Pune, the Securities and Exchange Board of India ("**SEBI**") and the relevant stock exchange(s).

In furtherance of the resolution passed at the meetings of the Audit Committee held on November 10, 2025 and February 16, 2026, respectively, approving the key performance indicators included in the draft red herring prospectus dated November 10, 2025 and the updated draft red herring prospectus, the Audit Committee was apprised that pursuant to the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended ("**SEBI ICDR Regulations**") and SEBI circular dated February 28, 2025, on *'Industry Standards on Key Performance Indicators Disclosures in the draft Offer Document and Offer Document'* ("**Industry Standards**"), the Company is required to disclose all the key performance indicators ("**KPIs**") pertaining to the Company in the RHP and the prospectus to be filed to the Registrar of Companies, Maharashtra at Pune, the SEBI, and the Stock Exchanges, and other documents or material issued or filed by the Company in relation to the Offer, including any amendments, addenda or corrigenda issued thereto (collectively, the "**Offer Documents**")

For the purposes of the identification of the KPIs, the Company is required to assess the following information ("**Selected Data**"):

(a) GAAP/ Non-GAAP financial measures and operational measures that are required to be mandatorily disclosed in the Offer Documents, as per the SEBI ICDR Regulations are considered KPIs;

(b) Key financial or operational information shared with any investor ("**Investor**"): (a) to whom equity shares or securities convertible into equity shares including warrants ("**Relevant Securities**") were allotted in any primary issuance (excluding ESOPs), during the three years prior to the date of filing of the Offer Documents, (b) for any secondary sale of the Company's Relevant Securities, if the Company was involved in facilitating such sale and had shared data with the transferees at the time of such secondary sale during the three years prior to the date of filing of the Offer Documents, (c) pursuant to information rights they may have or through any manner of a similar nature, during the three years prior to the date of filing of the Offer Documents;

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(c) key financial or operational information included in any private placement offer cum application letter or any rights issue offer letter for issuance of Relevant Securities, during the three years prior to the date of filing of the Offer Documents,

(d) KPIs that are regularly presented/discussed at Board meetings of the Company to monitor and track the Company's performance during the three years prior to the date of filing of the Offer Documents;

(e) KPIs that have been considered by the management of the Company to arrive at the basis for the Offer price;

(f) In case, the Company has not made disclosure of any information to any Investor in the three years prior to the date of filing of the Offer Documents, the Company shall identify the KPIs based on the key measures used by the management of the Company to track and monitor the performance of the Company; and

(g) Adjusted EPS (Basic and diluted), price earnings ratio, return on net worth and net asset value are required to be disclosed.

The management has also, along with the book running lead managers, identified suitable "Industry Peers" as per the guidance laid down in the Industry Standards and identified corresponding selected KPIs for the industry peers to the extent such selected KPIs are applicable to the industry peers and available from their regulatory filings and websites, for disclosure in the Offer Documents.

The management of the Company confirmed to the Audit Committee that while collating the Selected Data and identifying KPIs, the applicable Industry Standards were considered and adhered to and also presented a management note to the Audit Committee containing the following data ("**Management Note**"):

(a) the GAAP Financial Measures identified as KPIs;

(b) the Non-GAAP Financial Measures identified as KPIs;

(c) the operational measures identified as KPIs;

(d) detailed process and factors considered while making the shortlist from the Selected Data to KPIs specifying the relevance of identified KPIs;

(e) explanation of the excluded KPIs where such rationale is required to be provided under the Industry Standards; and

(f) Selected Data that is not considered as KPIs but shall form a part of disclosures in Offer Documents.

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Further, the management has consulted with the independent chartered accountant regarding validating the accuracy of the KPIs calculated by the management. A draft certificate from M/s. S. K. Patodia & Associates LLP, Chartered Accountants was placed before the Audit Committee for the review. M/s. S. K. Patodia & Associates LLP, Chartered Accountants has made the draft certificate in accordance with the ICAI Guidance Note.

The Audit Committee was further apprised that pursuant to the SEBI ICDR Regulations, the Audit Committee is required to confirm the disclosures proposed to be included in the Offer Documents on the KPIs of the Company as approved by the members of the Audit Committee of the Company, duly initialed by the Chairperson of the Audit Committee for identification purposes.

Based on the above, the following documents were placed before the Audit Committee:

(a) the Management Note as **Annexure A**;
(b) the Selected Data as **Annexure B**;
(c) the '*Basis of Offer Price*' section of the RHP as **Annexure C**;
(d) the draft certificate to be issued by M/s. S. K. Patodia & Associates LLP in relation to the KPIs as **Annexure D**; and
(e) the draft of the certificate to be issued by CFO for KPIs selected for disclosure in the 'Basis for Offer Price' chapter and in the 'Our Business' chapter of the RHP on behalf of the Company as **Annexure E**.

The Audit Committee reviewed and discussed the above.

The Audit Committee also noted that the KPIs as set out in the section titled "*Basis of Offer Price*" and "*Our Business*" in the Offer Documents shall continue to be disclosed by the Company post listing at least once in a year in the mode and manner as determined by the Board of Directors, in accordance with Paragraph (9)(K)(3)(h)(i) under Part A, Schedule VI and other applicable provisions of SEBI ICDR Regulations and the Industry Standards.

The disclosure requirements provided by way of the SEBI ICDR Regulations are set out in **Annexure F**.

After detailed discussions, the members of the Audit Committee passed the following resolution unanimously:

"**RESOLVED THAT**, as per the requirements of Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended, all (i) key performance indicators related to the business of the Company which have been used historically by the Company to understand and analyze, track and monitor the financial, business and operational performance, which help it in analyzing the growth of various verticals; (ii) and other relevant and material KPIs of the Company which may have a bearing for arriving at the basis for the pricing for the proposed initial public offering; and (iii) all the KPIs that have been disclosed to the investors at any point of time during the three years period prior to the date of filing of the RHP,

along with the definitions and rationale for the KPIs as set out in **Annexure A**, as identified by the Audit Committee, and verified pursuant to the certificate attached as **Annexure D**, are hereby noted and the approval of the Audit Committee is hereby accorded to disclose such KPIs in the updated draft red herring prospectus, the red herring prospectus, the prospectus and other documents or material issued in relation to the Offer, including any amendments, addenda or corrigenda issued thereto (collectively, the "**Offer Documents**").

RESOLVED FURTHER THAT the metrics, as set out in **Annexure A and B**, are the metrics that have been disclosed by the Company to its Board of Directors and Shareholders and to its investors at any point of time during the three years prior to the date of filing of the RHP, along with the reasonings and explanations for inclusion or non-inclusion of such metrics in the Offer Documents, have been duly verified by us.

RESOLVED FURTHER THAT, as per the requirements of the Industry Standards, the KPIs disclosed in **Annexure B** and **Annexure C** are measurable and expressible in numbers and inter-alia the following were considered before finalizing the KPIs:

(a) disclosure of KPIs as included in the Offer Documents as set out in **Annexure C**;
(b) rationale for excluding any 'selected data' as KPI;
(c) KPI disclosures of industry peers of the Company;
(d) explanation on how KPIs have been used by the management historically to analyse, track or monitor the operational and financial performance of the Company; and
(e) definitions and explanation of the KPIs."

"**RESOLVED FURTHER THAT**, the Audit Committee notes and takes on record the certificate issued by S. K. Patodia & Associates LLP, Chartered Accountants dated February 25, 2026, in relation to the KPIs ("**KPI Certificate**"), attached in **Annexure E,** and further notes that the KPI Certificate shall be disclosed in the '*Material Contracts and Documents for Inspection*' section of the Offer Documents under the applicable provisions of the SEBI ICDR Regulations.

RESOLVED FURTHER THAT, Ms. Poyni Bhatt and Mr. Namakal Srinivasan Parthasarathy and Mr. Shashikanth Suryanarayanan, Committee Members of Audit Committee of the Company be and are hereby severally authorised to do all such acts, deeds, matters and things as deemed necessary, proper or desirable, including finalizing the draft of the *"Basis for Offer Price"* section of the Offer Documents and to settle to give effect to the above resolution or give instructions and directions for settling any questions, difficulties or doubts that may arise in this regard and to give effect to such modifications, changes, variations, alterations, deletions or additions as may be deemed fit and proper in the best interests of the Company in accordance with the applicable laws and regulations and in consultation with the book running lead managers appointed in relation to the Offer and any documents so executed and delivered or acts and things done or caused to be done shall be conclusive evidence of the authority of the Board in so doing and any document so executed and delivered or acts and things done or caused to be done prior to the date hereof are hereby ratified, confirmed and approved as the act and deed of the Board, as the case may be.

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RESOLVED FURTHER THAT, the Audit Committee in consultation with the management of the Company and the book running lead managers to the Offer may update and approve any further changes to the KPIs approved by this resolution, from time to time, basis, *inter alia*, regulatory feedback and changes in applicable law.

RESOLVED FURTHER THAT, a copy of the above resolution, certified to be true by Mr. Amit Dixit, Joint Managing Director or Mr. Manish Sharma, Whole Time Director & Chief Operating Officer of the Company or Mr. Rajesh Sheth, Chief Financial Officer or Mr. Prasad Chavan, Company Secretary and Compliance Officer of the Company be forwarded to the concerned authorities for necessary action."

Certified True Copy
FOR SEDEMAC MECHATRONICS LIMITED
(Formerly known as SEDEMAC MECHATRONICS PRIVATE LIMITED)

PRChavan

SEDEMAC MECHATRONICS LIMITED

Prasad Chavan
Company Secretary & Compliance Officer
Membership No: A49921

Place: Pune
Date: 25th February, 2026